ACF · Statements of cash flows — Question Patterns and Methods

Based on 14 past-exam parts, 6 papers (2020–2025), their marking keys and the examiners' reports.

First: where marks are lost most

- Workings are not shown. The examiners' reports say many candidates gave no clear workings and paid little attention to their calculations. Keys in Patterns 2–5, 7 and 8 award marks for each balance used in the right place, so an unshown balance or total loses those marks.
- Reconciliations are built the wrong way round. Keys reward each opening and closing balance in its correct position (for example, returns deducted, closing receivables subtracted, accrued expenses added back). Sign and direction errors cost the marks even when the arithmetic is right.
- Theory is thin in the short-answer section. The reports say the theoretical parts of the short-answer questions were poorly completed, and candidates did not show why the calculations matter. Patterns 1 and 10 turn on definitions, so state them in full.
- Extended answers lack depth and do not use the stimulus. The reports say answers were often general and did not refer to the stimulus material. Patterns 11 and 12 reward specific, data-based analysis.
- Time runs out in the extended answer. The reports note fewer candidates attempted each later part, from part (a) to part (e). Budget time so every part gets an attempt.

Pattern 1: Explain cash and cash equivalents

How often: 3/6 papers · 3.7 marks when it appears · 0.8% of a paper.

Recognise it: the question asks you to describe or explain "cash" or "cash equivalents" under AASB 107, and to give an example of each. Multiple-choice versions offer near-identical definitions that differ in one condition, such as short-term against long-term, or insignificant risk against other risk.

Method

1. Define cash first: cash on hand and money available on demand in bank accounts.
2. Define cash equivalents with all three conditions: short-term, highly liquid and readily convertible to a known amount of cash, and subject to an insignificant risk of changes in value.
3. Give one example of each, chosen so that it meets every condition. A short-term term deposit fits; a long-term investment does not.
4. For multiple-choice items, test each option against the three conditions and reject any option that changes one of them.
5. Keep the answer to the definition. Do not drift into general statements about cash flow.

What the key rewards: one mark for a relevant fact about cash; one mark for a relevant fact about cash equivalents; an example of cash, such as notes and coins; an example of a cash equivalent, such as a term deposit or a bank overdraft as the key allows; for multiple choice, the option that states all the conditions.

Common errors: giving a long-term investment as a cash equivalent; leaving out the risk-of-value-change condition; giving an example that does not meet the conditions.

Past questions: 2025 SA Q18(b), 2024 EA Q23(e), 2021 MC Q14

Pattern 2: Reconcile cash received from customers

How often: 3/6 papers · 4.3 marks when it appears · 0.9% of a paper.

Recognise it: a cash flow statement extract for operating activities where the stimulus gives receivables balances, credit sales, sales returns, and sometimes cash sales.

Method

1. Set up the receivables reconciliation: opening receivables, plus credit sales, less sales returns (and any discounts or write-offs given), less closing receivables. The result is cash received from credit sales.
2. Add cash sales if the question gives them, because they are received at the time of sale.
3. Total the cash received from customers and check it against the figures given.
4. Place the total in the operating activities section.
5. Show every line of the working so each balance can earn its mark.

What the key rewards: opening receivables used; credit sales used; closing receivables used; sales returns deducted; cash sales included; the total cash received from customers.

Common errors: failing to deduct returns; adding the closing balance instead of subtracting it; leaving out cash sales when they are given; no working shown.

Past questions: 2023 SA Q20(a), 2021 SA Q21(a), 2020 SA Q20

Pattern 3: Reconcile cash paid to suppliers

How often: 3/6 papers · 5.0 marks when it appears · 1.1% of a paper.

Recognise it: a cash flow question that gives cost of sales or cost of goods sold, opening and closing inventory, and opening and closing accounts payable.

Method

1. Work out purchases: cost of sales, plus closing inventory, less opening inventory.
2. Set up the payables reconciliation: opening payables, plus purchases, less closing payables. The result is cash paid to suppliers.
3. Use cost of sales (or cost of goods sold), not sales revenue, as the starting figure.
4. Place the total in the operating activities section.
5. Show the purchases working and the payables working separately.

What the key rewards: opening inventory used in the purchases calculation; cost of sales used; closing inventory used; opening accounts payable; closing accounts payable.

Common errors: using sales revenue instead of cost of sales; reversing the inventory adjustment; subtracting opening payables instead of adding them; no working shown.

Past questions: 2023 SA Q20(a), 2021 SA Q21(a), 2020 SA Q20

Pattern 4: Reconcile other operating cash payments

How often: 3/6 papers · 8.0 marks when it appears · 1.7% of a paper.

Recognise it: several operating expense lines, each with prepaid or accrued balances (such as prepaid insurance or rent, accrued wages, other accrued expenses), and a request for cash paid rather than expense.

Method

1. For each expense, note the opening and closing prepayment or accrual balances.
2. For a prepayment (an asset): cash paid = expense + closing prepayment − opening prepayment.
3. For an accrual (a liability): cash paid = expense + opening accrual − closing accrual.
4. Remove any non-cash item, such as depreciation, from the expenses before adjusting.
5. Total the cash payments for all expense lines and check the direction of each adjustment.

What the key rewards: opening and closing prepayments used; expense amounts used; opening and closing accruals used; other and administration expenses included as payments; the total of operating cash payments.

Common errors: adding where the adjustment should be subtracted, or the reverse; leaving non-cash items in; mixing up prepayments (assets) and accruals (liabilities); no working shown.

Past questions: 2023 SA Q20(a), 2021 SA Q21(a), 2020 SA Q20

Pattern 5: Calculate interest received and paid

How often: 5/6 papers · 3.6 marks when it appears · 1.3% of a paper.

Recognise it: interest income or interest expense with accrued interest receivable or payable; an investment balance and an interest rate; a financing section that includes interest paid.

Method

1. Interest received: interest income, plus opening accrued interest receivable, less closing accrued interest receivable.
2. If the question gives an investment balance and a rate instead, calculate the interest as balance × rate (adjust for time if the period is not a full year), then use it as the interest received.
3. Interest paid: interest expense, plus opening interest payable, less closing interest payable.
4. Place interest received and paid in the section the question asks for.
5. Show the balance × rate working, and each accrual line, separately.

What the key rewards: the investment balance used to calculate interest; the interest rate applied; opening and closing accrued interest income; interest income; opening and closing accrued interest; interest expense; the interest paid total.

Common errors: using interest expense as the cash paid without adjusting for accruals; applying the rate to the wrong balance; adding the closing accrual instead of subtracting it; no working shown.

Past questions: 2025 SA Q18(a), 2023 SA Q20(a), 2022 SA Q19(a), 2021 SA Q21(a), 2020 SA Q20

Pattern 6: Determine cash income tax paid

How often: 2/6 papers · 1.0 marks when it appears · 0.1% of a paper.

Recognise it: an "income tax paid" line in the operating activities of a cash flow statement, where the question asks for the cash tax paid for the year rather than the tax expense.

Method

1. Do not use income tax expense as the cash paid; the definition asks for the cash tax payment reported for the period.
2. Take the cash income tax paid for the period as stated in the question or its working.
3. Show the result as an outflow in the operating activities section.

What the key rewards: the cash income tax paid figure, shown as an operating outflow.

Common errors: none recorded in the evidence for this pattern (the reports are empty and the awards name no student errors). The definition warns against using income tax expense in place of the cash tax paid.

Past questions: 2023 SA Q20(a), 2021 SA Q21(a)

Pattern 7: Reconcile asset and investment purchase payments

How often: 4/6 papers · 5.0 marks when it appears · 1.4% of a paper.

Recognise it: cost balances of equipment, machinery, land, motor vehicles, investments or intangibles; disposals at cost; revaluations mentioned in the stimulus; a request for payments for assets in investing activities.

Method

1. For each asset account, work out the purchases: closing cost, less opening cost, plus the cost of any assets disposed of.
2. Exclude revaluations and other non-cash movements. They are not cash paid.
3. For investments with no non-cash change given, purchases = closing balance less opening balance.
4. Show each asset separately, then total the payments as an investing outflow.

What the key rewards: opening and closing cost balances used; disposals at cost deducted or added back correctly; the land, machinery and investment payments calculated; the intangible asset payment included;

non-cash revaluation kept out of the cash figure.

Common errors: forgetting to add back disposals at cost; counting a revaluation as a cash payment; missing an asset category such as intangibles; no working shown.

Past questions: 2025 SA Q18(a), 2023 SA Q20(a), 2021 SA Q21(a), 2020 SA Q20

Pattern 8: Determine asset disposal cash proceeds

How often: 4/6 papers · 3.8 marks when it appears · 1.1% of a paper.

Recognise it: an asset has been sold, and the stimulus gives cost, accumulated depreciation, depreciation expense, and a gain or loss on sale.

Method

1. Accumulated depreciation removed on disposal = opening accumulated depreciation, plus depreciation expense, less closing accumulated depreciation.
2. Carrying amount of the asset sold = cost of the asset sold, less accumulated depreciation removed.
3. Proceeds = carrying amount, plus any gain on sale, or less any loss on sale.
4. Show the proceeds as an investing inflow.

What the key rewards: the cost of the asset sold; opening and closing accumulated depreciation used; depreciation expense included; the carrying amount calculated; the gain or loss used correctly; the cash proceeds.

Common errors: adding a loss instead of subtracting it; using cost where carrying amount is needed; forgetting the depreciation expense in the accumulated depreciation calculation; no working shown.

Past questions: 2025 SA Q18(a), 2023 SA Q20(a), 2021 SA Q21(a), 2020 SA Q20

Pattern 9: Reconcile financing cash movements

How often: 2/6 papers · 6.5 marks when it appears · 0.9% of a paper.

Recognise it: a financing activities section, with share capital, loans or borrowings, retained earnings, reserve transfers, share issue costs and dividends in the stimulus.

Method

1. Share proceeds = closing share capital, less opening share capital. Show share issue costs paid as a separate outflow.
2. Borrowings = closing loan balance, less opening loan balance, with repayments shown separately where the question gives them.
3. Dividends paid = opening retained earnings, plus profit for the year, less transfers to reserves, less closing retained earnings.
4. Place each line in the financing activities section and total it.

What the key rewards: the share capital movement used; share issue costs paid deducted; the loan opening and closing balances used; dividends paid calculated from retained earnings, including the transfer to reserve; the total financing cash flow.

Common errors: leaving profit out of the retained earnings reconciliation; forgetting the transfer to a reserve; treating share issue costs as part of share proceeds; no working shown.

Past questions: 2022 SA Q19(a), 2020 SA Q20

Pattern 10: Reconcile opening and closing cash totals

How often: 1/6 papers · 5.0 marks when it appears · 0.4% of a paper.

Recognise it: a reconciliation of cash and cash equivalents at the start and end of the year, using the statement of financial position figures for cash at bank, petty cash and term deposits.

Method

1. At the opening date, list cash at bank, petty cash, and any term deposit that meets the cash equivalent definition.
2. Total the opening balance.
3. Repeat step 1 and step 2 for the closing date.
4. Check that the change between the two totals agrees with the net change in cash shown in the statement.

What the key rewards: opening cash and petty cash used; closing cash and petty cash used; the closing term deposit included because it is a cash equivalent; the opening and closing totals.

Common errors: leaving out petty cash; using the bank balance only; including an investment that does not meet the cash equivalent conditions.

Past questions: 2020 SA Q20

Pattern 11: Explain the benefits of cash-flow information

How often: 4/6 papers · 3.3 marks when it appears · 1.0% of a paper.

Recognise it: a question that asks you to identify or describe benefits of the statement of cash flows to internal or external users, or a multiple-choice item on what users can evaluate with it.

Method

1. Identify the user named in the question or stimulus, such as an internal manager, a lender or a shareholder.
2. Name one benefit for each mark. Each must be a different benefit, for example: ability to meet debts, ability to generate cash, the link between profit and net cash flow, the effect of deferring payments or receipts, or the assessment of operating cash flow.
3. Explain how the information helps that user make a decision, and link the explanation to a figure or fact from the stimulus.
4. For multiple choice, select the option that names the aspect of the business the cash flow statement shows.

What the key rewards: each separate benefit identified and described; the benefit linked to a user; for multiple choice, the option about financial structure, liquidity and solvency.

Common errors: stating a benefit without explaining it; repeating the same benefit in different words; not referring to the stimulus. The reports say answers lacked depth and specificity.

Past questions: 2023 MC Q14, 2022 EA Q22(e), 2021 SA Q21(b), 2020 MC Q9

Pattern 12: Interpret cash-flow categories and business implications

How often: 2/6 papers · 5.9 marks when it appears · 0.9% of a paper.

Recognise it: a stimulus statement of cash flows with operating, investing and financing totals and opening and closing cash; a request to describe the change in cash and analyse what drove it.

Method

1. Start from the opening and closing cash balances and describe the overall change, including any move from a positive to a negative balance.
2. Classify each category total as operating, investing or financing, and state its sign.
3. Analyse the operating result against the payments it must cover, such as dividends.
4. Analyse the financing result: borrowings repaid, dividends paid, share proceeds, and any resulting overdraft.
5. State the business implication in each point, and refer to the stimulus figures explicitly.

What the key rewards: the overall cash change described, including the move to a negative balance; the operating inflow analysed against the dividend payment; the financing flows analysed (loan repayment, dividends, share proceeds and the overdraft); for multiple choice, the interpretation that matches the signs

of the net flows.

Common errors: describing the figures without analysing them; not using the stimulus numbers; misreading the sign of a net flow; treating each category in isolation without linking them.

Past questions: 2024 MC Q14, 2024 EA Q23(c), 2021 SA Q21(b)